Stock Market Case Studies – Answers

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Comparison Sheet (during reading/viewing source material)

Company	CEO	Business Model/Product	Highest Value Point	Total Financial Losses	Reasons for Failure
Enron	Kenneth Lay (founder, chairman and CEO) and Jeffrey Skilling (CEO in 2001). CFO Andrew Fastow ran the hidden deals.	Started as a natural gas pipeline company in Houston (1985). Became an energy trading company: bought and sold contracts for gas and electricity (EnronOnline), and tried broadband and water.	Stock reached $90.75 in mid-2000; market value over $60 billion. 7th-largest company in the US by revenue ($101 billion in 2000). Called "America's Most Innovative Company" by Fortune six years in a row.	About $74 billion lost by shareholders. Stock fell below $1 and Enron went bankrupt in Dec. 2001 (the biggest bankruptcy in US history at the time). Around 20,000 employees lost their jobs, and many lost their retirement savings because their 401(k)s were full of Enron stock. Its auditor, Arthur Andersen, collapsed too.	• Mark-to-market accounting: future profits counted as if they were earned today. • Billions in debt hidden in side partnerships run by Fastow. • Arthur Andersen approved the accounts and shredded documents. • Traders profited from the California energy crisis and blackouts. • Arrogant, cutthroat culture ("rank and yank"). • Executives sold stock while telling employees to buy.
FTX	Sam Bankman-Fried (founder and CEO). Replaced in Nov. 2022 by John J. Ray III, the same man who led Enron through its bankruptcy.	Cryptocurrency exchange where customers bought, sold and traded crypto. Created its own token, FTT. Its sister trading firm, Alameda Research, was also run by Bankman-Fried.	Valued at over $32 billion at its peak. One of the largest and most trusted crypto exchanges in the world, promoted by celebrities like Stephen Curry and Shaquille O'Neal.	At least $8 billion in customer deposits misused; customers reportedly lost $8 billion. Bankman-Fried was ordered to pay $11 billion. About $477 million also disappeared in a hack. FTX and about 130 related companies filed for bankruptcy on Nov. 11, 2022.	• Customer money secretly used to cover Alameda's losses, luxury real estate, yachts and political donations. • Alameda's assets were mostly FTT, a token FTX itself created (CoinDesk, Nov. 2, 2022). • Binance sold its FTT, customers rushed to withdraw $6 billion, and the money wasn't there. • "No bookkeeping" and a complete failure of corporate controls. • Bankman-Fried convicted on all counts, 25 years in prison.
Theranos	Elizabeth Holmes (founder and CEO; started it at 19 after dropping out of Stanford). Ramesh "Sunny" Balwani was president and COO.	Blood testing. Claimed its machine (the "Edison") could run hundreds of tests with a few drops of blood from a finger prick, faster and cheaper than normal labs. Offered tests inside Walgreens stores.	Valued at about $9 billion (2014). Holmes was called the youngest self-made female billionaire. Board with famous names like Henry Kissinger, George Shultz and James Mattis.	Investors put in roughly $900 million to $1 billion (often reported as $945 million) and lost almost all of it; Rupert Murdoch alone lost over $100 million. Holmes and Balwani were ordered to pay $452 million in restitution. Patients got wrong test results. The company shut down in 2018.	• The technology never worked; most tests were secretly run on modified machines from other companies. • Lied to investors, Walgreens and patients. • Culture of secrecy; employees who raised concerns were threatened. • Famous board, but no medical experts to question her. • Exposed by the Wall Street Journal (2015) and regulators. Holmes convicted of fraud, 11 years in prison.
WeWork	Adam Neumann (co-founder and CEO; founded it in 2010 with Miguel McKelvey).	Rented office buildings on long leases (often 15 years), redesigned them, and rented desks and offices to freelancers, startups and companies through short monthly memberships. Sold itself as a "tech" and "community" company, not real estate.	Valued at $47 billion in Jan. 2019, after investment from SoftBank.	Lost about $1.9 billion in 2018 alone. IPO cancelled in 2019 and the valuation fell to about $8 billion. Filed for bankruptcy in Nov. 2023. SoftBank lost an estimated $14 billion. Neumann still left with a package reported at up to $1.7 billion.	• Valued like a tech company, but it was a real estate company with huge costs. • Long-term rent vs. short-term customers. • Grew too fast with SoftBank's money. • Neumann's conflicts of interest (leased his own buildings to WeWork, charged it $5.9 million for the "We" trademark), total control and wild spending. • The 2019 IPO filing exposed the losses; then COVID-19 emptied offices.

Sources: Investopedia, "FTX Crypto Exchange Collapse: Causes, Consequences, and Lessons" · Enron: The Smartest Guys in the Room (2005) · 60 Minutes Australia, "The Fake Medical Revolution: Exposing the Theranos Lie" · "WeWork – The $47 Billion Disaster"

Questions (after reading/viewing source material)

1. What is one similarity each of these businesses/CEO's shares that led to their downfall?

The biggest similarity is that each CEO sold a story that was much bigger than what the company could really do, and that story hid the real numbers. Ken Lay and Jeff Skilling sold Enron as the most innovative company in America, while its profits were inflated with mark-to-market accounting and its debt was hidden in side partnerships. Elizabeth Holmes sold a machine that would change medicine with a single drop of blood, but it never worked. Sam Bankman-Fried presented FTX as a safe, trusted exchange while customer money was being used to cover Alameda's losses. Adam Neumann said WeWork's mission was to "elevate the world's consciousness" and got it valued like a tech company, when it was a real estate business losing billions. In all four cases, investors, boards and the media trusted the person instead of checking the facts, so when the truth came out, the company fell apart very quickly.

2. All of these CEOs have been villainized by the media and the public; do you feel this is a fair judgement? Why or why not.

Mostly yes, but not completely. For Enron, FTX and Theranos the criticism is fair, because courts found them guilty of fraud. Skilling was convicted (and so was Lay, who died before he was sentenced), Bankman-Fried got 25 years for misusing at least $8 billion of customer money, and Holmes got 11 years for lying to investors while patients received wrong blood test results. Real people lost their savings and their jobs, and Theranos patients even had their health put at risk, so the anger makes sense. Still, I think the media makes it look like one villain did everything alone, and that is not the whole story. Arthur Andersen approved Enron's accounting, famous board members and investors gave Theranos money without asking for proof, celebrities promoted FTX, and SoftBank kept pushing WeWork to grow faster. The same media that now calls them villains used to put them on magazine covers and call them geniuses. Neumann is also a different case: he was never charged with a crime. He was a selfish and careless manager, but putting him in the same group as people convicted of fraud is not really fair. So the judgement is fair for the frauds, but the blame should be shared with everyone who helped them.

3. These businesses have been used as examples of what not to do. Choose ONE and explain why you believe it to be the best example of how not to succeed in business.

I chose Enron, because it got almost everything wrong at the same time. First, the numbers were fake: with mark-to-market accounting, Enron counted profits it only expected to make years later as if they had already happened, and CFO Andrew Fastow hid billions in debt in side partnerships. Second, the people who were supposed to check the company failed: Arthur Andersen approved the accounts and later shredded documents, and Wall Street analysts kept telling people to buy the stock. Third, the culture was toxic: "rank and yank" fired the lowest-ranked employees every year, so people competed with each other instead of being honest, and traders even made money from the California blackouts. Finally, the leaders protected themselves instead of their people, selling their own shares while employees' retirement savings were stuck in Enron stock. The documentary's title sums it up: they believed they were the smartest guys in the room, so nobody could question them. It was so bad that the US passed a new law, the Sarbanes-Oxley Act (2002), to stop it from happening again, and when FTX collapsed about 20 years later, the man chosen to clean it up was the same one who had cleaned up Enron.

4. These are very diverse businesses; is there one you feel could've maintained viability had it been managed better? Explain your reasoning.

Yes, WeWork. Theranos could never have survived, because its machine simply didn't work, and FTX only "worked" by using its customers' money. WeWork is different because it had a real product that people actually wanted: flexible office space for freelancers, startups and companies that don't want to sign a 10-year lease. The problem was how it was run. Neumann grew way too fast with SoftBank's money, opening locations everywhere and signing expensive long-term leases, while customers only committed month to month. He treated it like a tech company worth $47 billion when it was really a real estate company that lost about $1.9 billion in 2018, and he used it for his own benefit, like renting his own buildings to WeWork. With a CEO focused on profit, slower growth, cheaper leases and an honest valuation, I think WeWork could have stayed viable. The proof is that the idea is still alive: companies like Regus have run the same kind of business for decades, and WeWork itself came out of bankruptcy in 2024 as a smaller company that still operates.

5. What is one lesson about business and/or investing that you can take away from these cases? Explain in detail.

The main lesson I take away is: never invest because of a story, a famous name or hype. Check the real numbers yourself, and never put all your money in one place.

In all four cases, smart and rich people lost money because they trusted the founder's image instead of the facts. Theranos had Henry Kissinger and George Shultz on its board and Rupert Murdoch as an investor, but nobody had independently tested the machine. FTX had athletes like Stephen Curry and Shaquille O'Neal promoting it, while its sister company's assets were mostly a token FTX had invented itself. SoftBank put billions into WeWork at a $47 billion valuation even though the company was losing more money than it made. Enron was a Wall Street favorite even though almost nobody could explain how it actually made its money.

So before investing, I would ask simple questions. How does this company really make money? Is it profitable, or is it only growing? Are the financial statements audited and easy to understand? Does the CEO have so much control that nobody can say no to them? If I can't get a clear answer, that is a red flag, not a reason to trust the "geniuses."

The second part is diversification. Enron employees lost their jobs and their retirement savings at the same time, because their 401(k)s were full of Enron stock. If their money had been spread across many companies, losing the job would still have hurt, but they wouldn't have lost everything. The same goes for FTX customers who kept all their savings on one exchange. For me, the lesson is to stay skeptical: if something sounds too good to be true, like hundreds of blood tests from one finger prick, it probably is.